



| Executive Summary

The global cotton industry for the 2026/27 season is defined by a **structural supply gap** and mounting climate risks. With global production forecast to drop by 6.6 million bales and a "Super El Niño" threatening the Indian monsoon, market participants must shift toward proactive procurement and climate-resilient strategies.

Global A-Index

95.00 c/lb

■ Stable (Firm)

Shankar-6 (India)

₹68,100 /Candy

▲ Bullish

India Mill Use

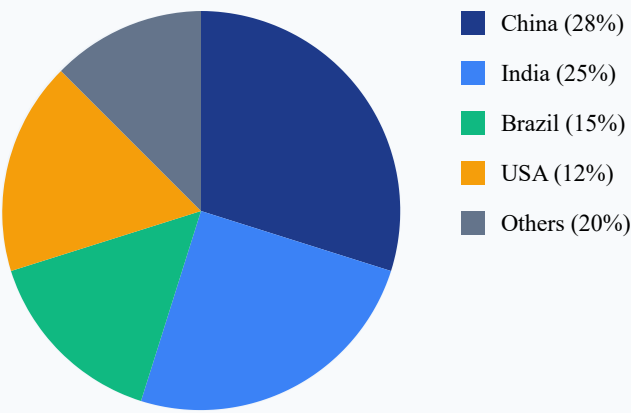
333 Lakh Bales

▲ Record High

I Global Market Analysis (2026/27 Forecast)

Global production is estimated at **116.0 million bales**, hitting a multi-year low. Consumption remains robust, leading to a significant drawdown in ending stocks.

Visual: Global Production Share

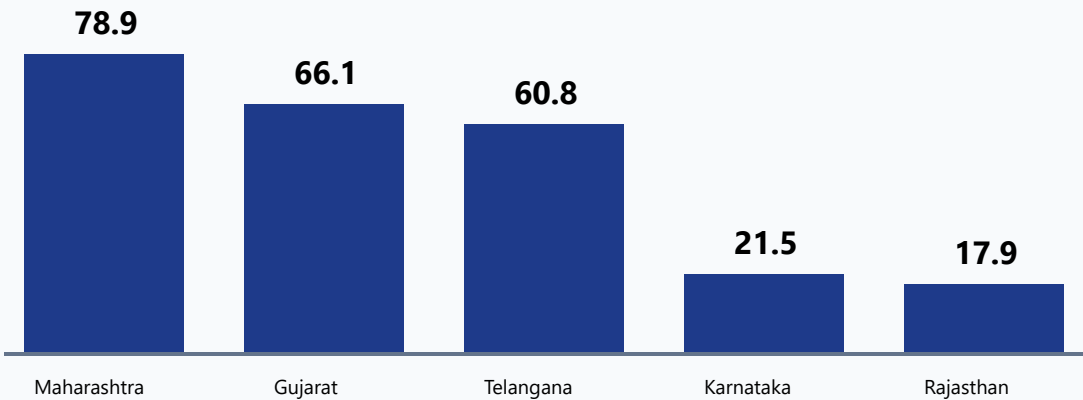


Country	Production (M Bales)	Forecast Change
China	33.5	▼ -2.5M
India	32.0	▲ +0.5M
Brazil	17.5	▼ -1.8M
USA	14.2	▼ -0.5M

| Indian Market Intelligence

India is positioning itself as a resilient supplier through the **Mission for Cotton Productivity**. However, the domestic yarn market is under pressure from rising raw material costs.

Visual: Indian State-wise Production (Lakh Bales)



Daily Spot Rates (CCI May 15, 2026)

Variety	Price (Candy)	Staple Length	Market Center
Shankar-6 (S6)	₹68,100	29mm	Gujarat
J-34	₹65,800	27mm	Punjab/Haryana
MCU-5	₹70,500	30mm+	Andhra Pradesh
BB MOD	₹68,500	29mm	Telangana

| Cotton Balance Sheet (2026-27 Outlook)

Global Balance Sheet

India Balance Sheet

Beginning Stocks	77.3 M Bales	Opening Stock	107.6 Lakh Bales
Production	116.0 M Bales	Production	290.9 Lakh Bales
Consumption	121.7 M Bales	Imports	15.0 Lakh Bales
Ending Stocks	71.8 M Bales	Consumption	333.0 Lakh Bales
Stock-to-Use	59.0%	Exports	25.0 Lakh Bales

| Climate & Environmental Planning

Red Alert: Super El Niño Impact

IMD forecasts a **92% LPA (Below Normal)** monsoon for 2026. This is the primary risk factor for the upcoming crop cycle.

- **Early Onset:** May 27 in Kerala.
- **Late Season Deficit:** August-September dry spells predicted for Central India.
- **Strategic Mitigation:** Shift to Short-Duration Varieties (SDVs) to escape end-of-season moisture stress.

| Strategic Frameworks

PESTEL Analysis

Political: Indian export quota stability.

Economic: 8% rise in energy costs impacting spinning margins.

Social: Traceability demands (Blockchain cotton).

Technological: AI-driven yield mapping.

Environmental: Heatwaves in North India.

Legal: New MSP regulations 2026.

SWOT Analysis

Strengths: Large domestic consumption base.

Weaknesses: Low yield per hectare vs world avg.

Opportunities: Premium Extra-Long Staple (ELS) exports.

Threats: Competitive pricing from Brazil/Australia.

I Yarn Market Trends

Spinning mills are currently navigating thin margins as yarn prices lag behind raw cotton spikes.

30s Combed Yarn	₹295 – 300 / kg
40s Combed Compact	₹320 – 325 / kg

*Current trend: Bullish, driven by China demand recovery.